

Introduction to Business

Business Ethics

Module Learning Outcomes

Explain the importance of business ethics and corporate social responsibility

- 6.1: Differentiate between ethical and legal behavior
- 6.2: Explain the concept of business ethics, and outline the steps companies take to encourage ethical behavior
- 6.3: Identify common ethical challenges faced by organizations
- 6.4: Explain the concept of corporate social responsibility

Ethical and Legal Behavior

Learning Outcomes: Ethical and Legal Behavior

6.1: Differentiate between ethical and legal behavior

- 6.1.1: Define ethical behavior
- 6.1.2: Define legal behavior
- 6.1.3: Differentiate between ethical and legal behavior

Ethics and Laws

- **Ethical** behavior or ethics are a set of standards that govern the conduct of a person, especially a member of a profession.
- **Legal** behavior follows the laws, which may change over time.



Practice Question 1

John, the officer of a large corporate department, interviews both internal and external candidates for a new leadership position in his division. The most qualified candidate is Joan, who has been with the company for 16 years and is 59 years old. John would like to promote Joan, but is concerned that she will not have the energy or commitment to handle the job in the years to come. This is an example of:

A. An ethical dilemma

B. A legal dilemma

C. A business dilemma

D. A typical day in the office

Practice Question 2

How do we differentiate between ethical and legal behavior in the workplace?

A. Legal behavior is governed by laws, whereas ethical behavior is governed by standards.
B. Ethical behavior is only followed in professional organizations and groups.
C. Legal behavior is subject to the standards set by the corporate legal counsel.
D. Both are the same—a set of guidelines that employees have the option to follow.

Business Ethics

Learning Outcomes: Business Ethics

6.2: Explain the concept of business ethics, and outline the steps companies take to encourage ethical behavior

- 6.2.1: Explain the concept of business ethics
- 6.2.2: Explain how ethics relates to the business and the individual
- 6.2.3: Define “corporate code of ethics”
- 6.2.4: Explain the role of managers in setting standards for ethical behavior

What is business ethics?

Business ethics refers to contemporary standards or values that govern the actions and behavior of individuals in the business organization and the actions of the business as a whole

Code of Ethics

Corporations and professional organizations, particularly licensing boards, will usually have a written "Code of Ethics" that governs standards of professional conduct expected of all in the field.



Company Codes of Ethics and Codes of Practice

A **Corporate Code of Ethics** begins by setting out the values that underpin the code that describes a company's obligation to its stakeholders. The code is publicly available, details how the company plans to implement its values and vision, and contains guidance on ethical standards and how to achieve them.

A **Code of Practice** is adopted by a profession or a government or nongovernmental organization to regulate that profession. In a membership context, failure to comply with a code of practice can result in expulsion from the professional organization.

Beyond establishing policies or codes that guide the ethical behavior, many companies are assessing the environmental factors that can lead employees to engage in unethical conduct. A competitive business environment may call for unethical behavior.

Encouraging Ethical Behavior

Beyond written codes of ethics, organizations have unique cultures—ways of doing things that evolve through shared values and beliefs. Subordinates look to their supervisors as role models of ethical behavior.



Five Strategies to Promote Safer and more Ethical Workplaces

Five Strategies suggested by the Ethics and Compliance Initiative (ECI):

1. Make ethics a leadership priority
2. Focus on achieving success the right way
3. Be attuned to the impact of organizational change
4. Nurture a speak up culture
5. Be transparent

The Role of Executives and Managers in Setting Ethical Standards

When executives establish specific, measurable objectives for the company, those objectives determine where people will focus their time and effort. When the objectives cannot be met and there are dire personal consequences for failure, these conditions can lead to the compromise of ethics and standards.

Executives play an important role in creating company policies on ethics—and by visibly following and upholding them. Employees look to executives to decide whether standards-of-business-conduct policies should be observed and respected.

Internal promotions send very strong signals about what is important to a company. If the company promotes individuals to management positions when they have displayed questionable ethics in the workplace:

- it creates a level of managers who are more likely to encourage their employees to achieve business results at any cost, even when ethics are compromised
- it sends a message to all employees that business results are more important than ethics.

Class Discussion: Ethics of Hiring a Friend

- You are on a committee interviewing applicants for a position. A friend has applied. What should you do?

Ethical Challenges

Learning Outcomes: Ethical Challenges

6.3: Define common ethical challenges faced by organizations

- 6.3.1: Define bribery
- 6.3.2: Define kickback
- 6.3.3: Define conflict of interest
- 6.3.4: Explain how whistleblowers can contribute to a company's ethical behavior
- 6.3.5: Give examples of unethical corporate of business behavior

Ethical Issues: Bribes

Bribery is the act of giving money, goods, or other forms of compensation to a recipient in exchange for an alteration of their behavior (to the benefit/interest of the giver) that the recipient would otherwise not alter.

A **kickback** is a form of negotiated bribery in which a commission is paid to the bribe-taker in exchange for services rendered.



Ethical Issues: Conflict of Interest

Conflict of interest (COI) is an ethical challenge that occurs when an individual or organization is involved in multiple interests that are at odds with one another.

Self-dealing: in which an official who controls an organization causes it to enter into a transaction with the official, or with another organization that benefits the official, i.e., the official is on both sides of the "deal."

Outside employment: in which the interests of one job contradict another.

Family interests: in which a spouse, child, or other close relative is employed (or applies for employment) or where goods or services are purchased from such a relative or a firm controlled by a relative. Abuse of this type of conflict of interest is called **nepotism**.

Gifts from friends: who also do business with the person receiving the gifts (may include non-tangible things of value such as transportation and lodging).

Whistle-blower

- A whistleblower is a person who exposes information or activity that is deemed illegal, unethical, or incorrect within an organization that is either public or private.
- Whistleblowers take action to put an end to unethical practices after witnessing injustices in their businesses or organizations



Class Discussion: Ethics and Whistleblowing

Consider some of the most famous whistleblowers in recent U.S history:

- Karen Silkwood- public health violations within the Nuclear industry.
- Frank Serpico- bribery in the NYC police department.
- Edward Snowden- NSA surveillance within the U.S.

Now consider the SEC whistleblowing program. This program has awarded $376M to 61 individuals since 2012 for information regarding financial transgressions.

How do you feel about the ethics of whistleblowing? Are all whistleblowing cases morally justified? What about getting paid to tattle?

Practice Question 3

Joel has been accepting small presents from his company's supplier for years. Now one supplier has approached him with an offer to share a $50K commission in exchange for a lucrative contract award. This action would be defined as:

A. A win-win

B. A bribe

C. A kickback

D. Business as usual

Practice Question 4

David is a salesperson for a large software company. In working with a new client on their needs for a new accounting system, he hears them converse about the need for a third-party consultant to help instill best business practices. Although David's company offers the same professional services, David recommends his brother's firm who is an independent consultant in the same field. This would be considered a _____.

A. bribe

B. conflict of interest.

C. case of insider trading

D. case of self-dealing

Practice Question 5

What is the most positive outcome for a company or organization from whistleblower activities?

A. The whistleblower often receives a cash reward for their actions.
B. The whistleblower often receives public recognition for their actions.
C. A whistleblower report shines a spotlight that stimulates immediate action to correct a situation of wrongdoing and longer-term action to prevent such activities from reoccurring.
D. The whistleblower can receive federal law protection to protect their activities.

Corporate Social Responsibility

Learning Outcomes: Corporate Social Responsibility

6.4: Explain the concept of corporate social responsibility

- 6.4.1: Define corporate social responsibility (CSR)
- 6.4.2: Describe the impact of CSR on direct and indirect stakeholders
- 6.4.3: Give examples of corporate social responsibility
- 6.4.4: Discuss controversies surrounding CSR

Corporate Social Responsibility (CSR)

- Corporate social responsibility is the ethical role of the corporation in society
- It refers to actions that businesses take or refrain from taking based on the impact of those actions on the external environment and community



The Aim of Corporate Social Responsibility

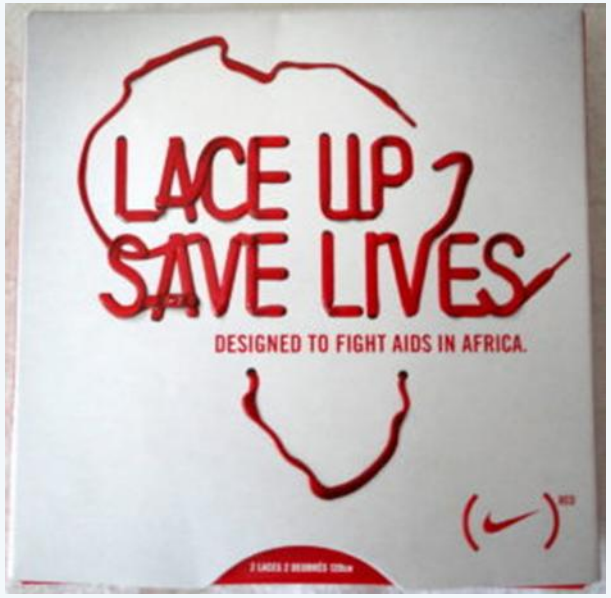
The aim of CSR is to increase long-term profits and shareholder trust through positive public relations and high ethical standards to reduce business and legal risk by taking responsibility for corporate actions.

It isn't enough for companies to generate a profit and merely meet the letter of the law in their business operations. Today, many U.S. citizens expect them to generate a profit *and* conduct themselves in an ethical and socially responsible manner.

CSR strategies encourage the company to make a positive impact on the environment and stakeholders—that is, all of the parties who have a stake in the performance and output of the corporation.

Growing Importance of CSR

- Areas of CSR include environmental concerns (green business), poverty, human rights, and animal rights. Today, businesses are realizing the importance of CSR in attracting and maintaining employees and customers. Stakeholders are demanding that businesses give back to the larger community in which they operate.



Demands for Corporate Social Responsibility

Several drivers pushing businesses toward corporate social responsibility include:

- **Increased pressure from consumers**: consumers are demanding more from businesses that get their hard-earned cash. Businesses that are perceived as valuing more than just the "bottom-line" are gaining favor with the buying public.
- **Pressure from shareholders and investors**: Socially Responsible Investing (SRI) has seen increased attention over the last several decades.
- **Supply-chain pressure**: as consumers pay closer attention to the social responsibility of retailers and service provider, visibility into their supply chains has become a priority. For example, Apple has come under scrutiny and criticism for the poor working conditions and environmental hazards taking place at assembly facilities in China.

Examples of Corporate Social Responsibility

- **Corporate philanthropy:** a corporation's gifts to charitable organizations.
- **Cause-related marketing**: corporations associating the sales of its product to a program of donations or support for a charitable or civic organization.
- **Sustainability**: a concept derived from environmentalism; it originally referred to the ability of a society to or company to continue to operate without compromising the planet's environmental condition in the future.
- **Social Entrepreneurship and Social Enterprise:** the use of business organizations and techniques to attain laudable social goals.
- **Social Marketing**: the use of business marketing techniques in the pursuit of social goals.

Controversies Surrounding CSR

From the beginning, CSR has been the subject of much debate. CSR's critics argue that the main responsibility of businesses is to maximize return to their shareholders.

Other critics assert that many so-called CSR activities are really just publicity stunts and corporate "greenwashing." **Greenwashing** refers to corporations that exaggerate or misstate the impact of their environmental actions or promote products as being "eco-friendly" when in fact they're not.

Supporters of CSR contend that there are significant profit-related benefits in socially responsible behavior. Companies are using their CSR activities to recruit and keep the best management talent and to establish partnerships with communities to increase company influence on legislation.

Despite the ongoing debate, trends indicate that CSR is gathering force and is here to stay.

Quick Review

- What are ethical and legal behavior? How are they different?
- What is business ethics?
- What steps do companies take to encourage ethical behavior?
- What are common ethical challenges organizations face?
- What is corporate social responsibility (CSR)?